

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: needs work

Top improvement

When asked for levers or a recommendation, commit to a hypothesis using the data you already have instead of waiting for more. Your own analysis showed prices flat for two years and non-bean inputs driving about 11.8 of the 16 COGS points. That was enough to recommend a selective price increase, paired with procurement on dairy, packaging and beans. Then name the key risk (traffic loss) and the next step (a pilot plus a competitor price check).

Rubric Scores

Problem Structuring

adequate

What went well

Some tailoring to the case facts, flagging that revenue growth may come from new stores rather than same-store growth.

“A 15% revenue rise could be new stores rather than same-store growth, which matters a lot.”

What needs work

The objective (find the root cause and recommend how to reverse it) was never restated. The structure stopped at diagnosis and was not tied to the eventual decision.

“Then I'd compare the cost structure two years ago to today as a percent of revenue, to see which line expanded.”

The candidate opened with a clear profit = revenue - costs split, sensible sub-points and a cost-driven hypothesis, but stopped at two top-level buckets with a generic fixed-versus-variable cost split. There was no bucket for competitive context or pricing power, the lens that matters most when prices have been flat.

“On costs: fixed versus variable.”

“Since revenue is growing but margin is collapsing, this looks cost-driven, but I want to confirm both sides before I commit.”

“I'd break profit into revenue and costs.”

When the brainstorm came, the candidate could not build even a simple mini-structure (price side vs. cost side), even after the interviewer handed one over.

“I don't really know where to start without that breakdown.”

Missed opportunities

Opening framework in turn 1, before asking for the cost data.

A great answer: “Our goal is to find why margin fell from 24% to 6% despite 15% revenue growth, and what to do about it. I'll look at three areas: pricing and pricing power, meaning whether we've passed cost changes through and how competitors priced; volume and mix; and unit costs across COGS, labor and overhead. My hypothesis is that unit costs rose faster than price, so I'd start with the cost lines as a % of revenue and our price history versus peers.”

Quantitative & Analytical Rigor

strong

What went well

The candidate converted the COGS share into points of revenue before applying the growth rate, avoiding the nested-percentage trap.

“COGS was 42 points of revenue two years ago. Beans were 25% of that, so 10.5 points; everything else was 31.5 points.”

“If the non-bean inputs rose 37.5%, that's $31.5 \times 1.375 = 43.3$ points today.”

Backed into the implied bean increase (~40%), which the later data confirmed. Correctly split the damage into 11.8 points from non-bean inputs vs. 4.2 points from beans, and stated the business implication.

“Current COGS is 58, so beans must be $58 - 43.3 = 14.7$ points, up from 10.5 — roughly a 40% increase.”

“Dairy, packaging, and food are the bigger driver, even though beans are the headline commodity.”

Quantified COGS's share of the decline and projected the trend forward.

“Of the 18-point margin decline, 16 points — about 89% — sit in COGS.”

“And at this pace, another year of the same trend puts COGS near 66 and the business underwater.”

What needs work

The math was never carried into sizing a fix. For example, the candidate did not estimate how much price would need to rise to recover the 16 COGS points, even though the analysis made that straightforward.

“I don't know, I'd need more data.”

Missed opportunities

After establishing that prices were flat and COGS rose 16 points (turn 5), the interviewer asked for levers.

A great answer: "Rough sizing: to bring COGS back from 58% to about 50% of revenue on today's cost base, revenue per unit has to rise about 16% (58/50 = 1.16). A blanket increase that size is risky, so I'd combine a selective 8–12% increase on specialty drinks with procurement savings on dairy and packaging to close the rest."

Data & Exhibit Interpretation

strong

What went well

The candidate read every cost line systematically, isolated COGS as the driver (16 of 18 points), and ruled out labor and overhead.

"Of the 18-point margin decline, 16 points — about 89% — sit in COGS."

"So the problem isn't labor efficiency or bloated corporate costs. It's cost of goods relative to what we charge."

Went past the bean headline to show that non-bean inputs drive most of the increase.

"Dairy, packaging, and food are the bigger driver, even though beans are the headline commodity."

Drew new insight from the time series (a linear, non-mean-reverting trend) and named next-step data.

"That's steady and linear, not a one-time commodity spike that might mean-revert."

"Do we have menu-price history over those two years, and a split of COGS by input — beans, dairy, cups, food?"

What needs work

The exhibit's implications were never converted into an action, even though the candidate's own read pointed to flat pricing as the gap.

"And since prices haven't moved in two years, none of that inflation has been passed to customers."

Missed opportunities

Turn 7, asked what the year-by-year exhibit adds.

A great answer: "The steady 8-point-a-year COGS climb says this is structural, so waiting for commodity prices to fall isn't a plan. With prices frozen for two years, the immediate implication is a pricing review, and I'd next check how competitors have moved their prices."

Business Judgment & Insight

needs work

What went well

During analysis, the candidate drew commercially sound conclusions: inflation was not passed through, and the trend is structural rather than a spike likely to reverse.

"And since prices haven't moved in two years, none of that inflation has been passed to customers."

"That's steady and linear, not a one-time commodity spike that might mean-revert."

What needs work

No recommendation or lever was ever offered. The candidate repeatedly deferred to data that the interviewer explicitly said did not exist.

"I'm stuck, sorry. I can't prioritize without a detailed breakdown of COGS."

"Hmm. I don't think I can call that without more detail."

The candidate kept asking for a COGS split already largely in hand (beans 25% of COGS, beans +40%, other inputs +37.5%). That shows poor judgment about when the evidence is sufficient to act.

"The one thing I'd still want is the COGS split by input line, current and two years ago. That's what's blocking me."

"I don't know. That's consistent with what I'd already backed into, but I'd still need the full breakdown."

No risks or mitigations were discussed, even when the interviewer directly asked what would worry the candidate about raising prices.

"Hmm. I don't think I can call that without more detail."

Missed opportunities

Turn 18: 'If you were the CEO, what would you do with menu prices, and what would worry you about it?'

A great answer: "I'd raise prices, selectively, perhaps 8–12% on specialty drinks where customers are less price-sensitive, since we haven't moved in two years while inputs rose about 38%. My worry is traffic loss to competitors, so I'd test it in a set of stores first and check competitor pricing before rolling it out."

Creativity & Brainstorming

needs work

What needs work

Zero ideas were produced across more than ten brainstorm prompts, including heavily narrowed ones (price side only, one thing a customer pays for, any two ideas).

| "I don't know, I'd need more data."

| "I'm not sure. Sorry."

No mini-structure for the brainstorm, even after the interviewer supplied price vs. cost buckets.

| "I'm not sure. I'd want the COGS detail before committing."

Missed opportunities

Turn 10: asked for a structured set of levers and a priority.

A great answer: "I'll split levers into price, cost and mix. On price: a selective increase on specialty drinks, and a size or loyalty restructure. On cost: multi-year contracts for beans and dairy, and renegotiating packaging. On mix: push higher-margin items and pilot a cheaper blend for value-focused stores. I'd prioritize price first, because it hasn't moved in two years, then procurement on non-bean inputs, since they drive about 11.8 of the 16 points."

Synthesis & Recommendation

needs work

What needs work

No recommendation was given, even when the interviewer asked for a single first step under time pressure; the case closed without one.

| "I'm stuck, sorry. Not without a more detailed COGS breakdown."

| "I don't know. That's consistent with what I'd already backed into, but I'd still need the full breakdown."

The candidate gave crisp mini-syntheses during the analysis that narrowed the problem, but never connected those findings (flat prices, non-bean inputs as the main driver) into an answer-first summary.

| "I don't know, I'd need more data."

| "So the problem isn't labor efficiency or bloated corporate costs. It's cost of goods relative to what we charge."

Missed opportunities

Turn 26: 'Suppose the CEO needs a call today... What is the single first step you'd tell them to take?'

A great answer: "My recommendation is to raise menu prices selectively, starting now. Why: prices are unchanged for two years, and COGS rose 16 points, about 11.8 of it from dairy, packaging and food. The risk is traffic loss, so pilot the increase on specialty drinks in a subset of stores. In parallel, renegotiate dairy and packaging contracts. Next step: benchmark competitor pricing this month."

Communication & Delivery

adequate

What went well

In the opening and analysis, delivery was top-down and hypothesis-led, with clear signposting.

| "Since revenue is growing but margin is collapsing, this looks cost-driven, but I want to confirm both sides before I commit."

| "Let me work that through."

Findings were stated crisply with clear 'so what' framing.

| "So both buckets inflated, but in absolute terms the non-bean inputs added about 11.8 points of margin damage versus 4.2 from beans."

What needs work

For the second half of the case, the candidate gave repeated non-answers and did not build on the interviewer's increasingly specific cues.

| "I'm not sure. Sorry."

| "I don't know. Sorry — not without that breakdown."

The candidate did not think out loud when stuck; one could have reasoned aloud from the known facts rather than going silent on content.

| "Hmm, I'm not sure. I'd need the COGS detail first."

Missed opportunities

Turn 16: the interviewer offers the cue 'Margin has two sides... What could Brew & Bean do on just the price side?'

A great answer: "Taking the price side: since prices haven't moved in two years, the obvious lever is a price increase. I'd think about where, meaning specialty drinks vs. drip, and how much, roughly enough to recover several of the lost COGS points."

Pushback, Composure & Case Leadership

needs work

What needs work

Ignored more than ten escalating hints, including Level 1 ('Take your time') and Level 2 ('Let's simplify') assists, and never incorporated any of them.

| "I'm not sure. Sorry."

| "I'm stuck, sorry. Not without a more detailed COGS breakdown."

Early in the case, the candidate drove the analysis forward by asking for precisely the right data. Later, the candidate held rigidly to a further data request without explaining what it would change, even after the interviewer said the data did not exist.

| "I don't know. Sorry — not without that breakdown."

| "I don't know. That's consistent with what I'd already backed into, but I'd still need the full breakdown."

| "Do we have menu-price history over those two years, and a split of COGS by input — beans, dairy, cups, food?"

The candidate became passive and waited to be led instead of proposing next steps once the brainstorm began.

| "I don't really know where to start without that breakdown."

Missed opportunities

Turn 14: 'I don't have a more detailed COGS breakdown... What's one action you could take on that basis?'

A great answer: "Fair — I already have enough to act. Beans are only about 4 of the 16 points, so the detail wouldn't change the direction: price hasn't kept up, so the first action is a targeted price increase, with procurement on dairy and packaging alongside it."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Candidate · 1:30

Let me take a second to structure this.

Since revenue is growing but margin is collapsing, this looks cost-driven, but I want to confirm both sides before I commit.

I'd break profit into revenue and costs. On revenue: volume — transactions per store and store count — and price per transaction, plus mix across beverages, food, beans, and any wholesale or delivery channel. A 15% revenue rise could be new stores rather than same-store growth, which matters a lot.

On costs: fixed versus variable. Fixed would be rent, salaried labor, corporate overhead, depreciation. Variable would be COGS — coffee beans, dairy, cups — hourly labor, delivery commissions, utilities.

Then I'd compare the cost structure two years ago to today as a percent of revenue, to see which line expanded.

To start, do we have a breakdown of costs as a percentage of revenue for both periods?

Interviewer · 1:32

Go on.

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 2:57

This is pretty clear. COGS went from 42% to 58% of revenue, a 16-point increase. Labor is flat at 22%, overhead moved 12 to 14, so 2 points. Of the 18-point margin decline, 16 points — about 89% — sit in COGS.

So the problem isn't labor efficiency or bloated corporate costs. It's cost of goods relative to what we charge.

Two broad explanations: input costs rose and we didn't pass them through, or our prices stayed flat while volume grew, or mix shifted toward lower-margin items like food and packaged beans.

Do we have menu-price history over those two years, and a split of COGS by input — beans, dairy, cups, food?

Interviewer · 2:59

Menu prices have not changed in two years. Coffee beans were 25% of COGS two years ago. On what you asked for: Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

Candidate · 4:30

Let me work that through. COGS was 42 points of revenue two years ago. Beans were 25% of that, so 10.5 points; everything else was 31.5 points.

If the non-bean inputs rose 37.5%, that's $31.5 \times 1.375 = 43.3$ points today.

Current COGS is 58, so beans must be $58 - 43.3 = 14.7$ points, up from 10.5 — roughly a 40% increase.

So both buckets inflated, but in absolute terms the non-bean inputs added about 11.8 points of margin damage versus 4.2 from beans. Dairy, packaging, and food are the bigger driver, even though beans are the headline commodity.

And since prices haven't moved in two years, none of that inflation has been passed to customers. Revenue grew 15% on flat pricing, so that's volume or store count.

Interviewer · 4:36

Okay. Here's the cost structure over time. What does this tell you that your analysis hasn't already?

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 6:06

One thing the year-by-year trend adds: COGS rose 8 points in each of the two years — 42 to 50 to 58. That's steady and linear, not a one-time commodity spike that might mean-revert. So this reads as sustained input inflation, and there's no sign it's flattening.

The other read is that labor held at exactly 22% all three years. If revenue grew 15%, labor costs grew proportionally, which suggests labor is genuinely variable and being managed reasonably — not where the fix is.

Overhead crept 12 to 14. Small, but worth noting it grew as a percent of revenue even while revenue was rising, so overhead grew faster than sales. That could be new-store or corporate build-out.

And at this pace, another year of the same trend puts COGS near 66 and the business underwater.

Interviewer · 6:10

Understood. Beyond what we've discussed so far, what else could Brew & Bean do to restore its margin?

Candidate · 6:23

I don't know, I'd need more data.

Interviewer · 6:26

Understood, but I'm asking for hypotheses, not data. Take a minute and give me a structured set of levers Brew & Bean could pull to restore margin, and tell me which you'd prioritize.

Candidate · 6:56

I'm stuck, sorry. I can't prioritize without a detailed breakdown of COGS.

Interviewer · 6:58

Take your time. The question on the table is what levers Brew & Bean could pull to restore margin, and you can name them before we rank them.

Candidate · 7:27

Hmm, I'm not sure. I'd need the COGS detail first.

Interviewer · 7:31

I don't have a more detailed COGS breakdown than what you've already worked through. You already know prices haven't moved and input costs have. What's one action you could take on that basis?

Candidate · 8:01

I don't really know where to start without that breakdown.

Interviewer · 8:03

You don't need more detail to start. Margin has two sides: what the company charges and what it pays for inputs. What could Brew & Bean do on just the price side?

Candidate · 8:28

I'm not sure. I'd want the COGS detail before committing.

Interviewer · 8:31

Let's make it simpler. Prices haven't changed in two years while input costs have risen. If you were the CEO, what would you do with menu prices, and what would worry you about it?

Candidate · 9:09

Hmm. I don't think I can call that without more detail.

Interviewer · 9:12

Let's simplify. A margin can fall in two ways: costs rise, or revenue per unit falls behind. Which of those two is the client's lever to act on right now, and what is one move there?

Candidate · 9:37

I'm not sure. Sorry.

Interviewer · 9:39

Understood. Let's try it concretely: picture a customer at a Brew & Bean counter today. Name one thing about what they pay or what's in their cup that the company could change.

Candidate · 10:08

I don't know. I'd need the cost breakdown first.

Interviewer · 10:11

Let's step back from the brainstorm. Based on the analysis you've already done, what is your recommendation to the CEO to reverse the margin decline?

Candidate · 10:24

I don't know, I'd need more data.

Interviewer · 10:26

Understood. Suppose the CEO needs a call today with only what's on the table: flat prices, non-bean inputs up sharply, beans up as well. What is the single first step you'd tell them to take?

Candidate · 10:41

I'm stuck, sorry. Not without a more detailed COGS breakdown.

Interviewer · 10:43

Understood. Take a minute and think about the one thing you've shown the data points to: prices haven't moved while costs have. What would you want to test with the CEO about that?

Candidate · 11:13

Hmm. I'm not sure. I'd still want the COGS detail.

Interviewer · 11:15

Understood. I'll put it plainly: the data shows menu prices unchanged while input costs rose. If you could only pull one lever on that gap, which would it be, and why?

Candidate · 11:29

I don't know. Sorry — not without that breakdown.

Interviewer · 11:31

Understood. Forget ranking for a moment: name any two ways a coffee chain could close a gap between rising input costs and unchanged prices. Rough ideas are fine here.

Candidate · 11:52

I'm not sure. Sorry.

Interviewer · 11:54

Understood. Let's leave that there. Before we close, is there any data request you want me to answer, or anything in your earlier analysis you'd like to revisit?

Candidate · 12:34

Nothing to revisit on the math — I'm comfortable with the 16 points sitting in COGS.

The one thing I'd still want is the COGS split by input line, current and two years ago. That's what's blocking me.

Interviewer · 12:42

Raw coffee bean costs are up 40% over the past two years. With that, and everything else on the table, what would you tell the CEO to do first?

Candidate · 13:03

I don't know. That's consistent with what I'd already backed into, but I'd still need the full breakdown.

Interviewer · 13:05

That's time. Thanks for working through it — your written report will follow.